



PAPER – 6:

FINANCIAL MANAGEMENT AND STRATEGIC MANAGEMENT

6A: FINANCIAL MANAGEMENT



QUESTIONS

Case Scenarios

1. Mint Technologies, a startup in the IT infrastructure space, is planning to enter the computer networking market with a specialized offering—VPN connectivity solutions for enterprises with distributed office networks. The company recently won a significant tender from a major national bank to set up secure VPN connections across 100 branches. The leadership team is excited but cautious, as this move requires significant upfront investment and ongoing operational capability.

To evaluate the financial viability of this project, you have been hired as a consultant.

- They have forecasted their numbers for 5 years and they have assumed that they will grow at industry average (3%) afterwards.
- Mint will invest all the money for CAPEX in the infrastructure and equipment. Mint is planning to issue 50Mn shares in lieu of the amount.
- Mint will have to keep upgrading the infrastructure and equipment to cover different offices of various clients.
- Mint expects an initial investment of around ₹ 150 Mn in network access as an initial setup cost for connecting different offices. Mint

needs to invest additional ₹10 Mn every year starting from beginning and is expected to grow 10% every year.

- The equipment investment varies with number of branches/offices. This varies with time and currently it is ₹ 0.1 Mn per office.
- Initially, Mint has won a tender of 100 branches of a bank and expecting it to grow at 30% for next 5 years.
- Mint is expecting to have a maintenance cost of 10% for equipment and 15% for network.
- To handle all this, current manpower cost is ₹ 1 Mn
- Mint has entered into an agreement with local authority and has agreed to share 15% of the revenue with the same.
- Mint is expecting to generate revenue of ₹ 0.5 Mn per office and to remain competitive in the market, it is not going to increase with inflation.
- Capital expenditure and operating expenses will grow 10% every year.
- Tax slab in the country is 30% and depreciation of the equipment and network is assumed to be 10%. Discounting rate is 20%.
- Assume all the expenditure including initial setup cost from year 1.

Based on the above information, you are required to answer following 5 MCQs:

- (i) What is the CFAT for year 1?
- (a) -15,33,50,000
 - (b) 1,00,17,000
 - (c) 1,75,73,810
 - (d) 2,74,29,367
- (ii) What is the CFAT for year 5?
- (a) -15,33,50,000
 - (b) 1,00,17,000

- (c) 4,02,25,268
- (d) 2,74,29,367
- (iii) Calculate the terminal value
 - (a) ₹ 24,37,17,801
 - (b) ₹ 9,79,74,556
 - (c) ₹ 6,38,54,064
 - (d) ₹ 21,32,20,955
- (iv) What is the total present value of the mint technologies?
 - (a) ₹ 1,89,77,337
 - (b) ₹ 1,32,20,955
 - (c) ₹ 1,67,06,548
 - (d) ₹ 89,97,791
- (v) Calculate the IRR for the company
 - (a) 22.60%
 - (b) 15.39%
 - (c) 20.25%
 - (d) 24.68%

Ratio Analysis and Leverages

2. A manufacturing company which is presently growing at a good rate has a Financial Leverage of 3. Its present borrowings are as follows:

12% Term Loan ₹ 60,00,000

Bank borrowings@10% ₹ 40,00,000

Public Deposits@8% ₹ 20,00,000

The Interest Coverage Ratio will be

- (a) 1.0
- (b) 1.5

- (c) 2.0
- (d) 2.5

Cost of Capital

3. Consider the below mentioned statements:
1. A debt-equity ratio of 2:1 indicates that for every 1 unit of equity, the company can raise 2 units of debt.
 2. The cost of floating a debt is greater than the cost of floating an equity issue.

State True or False:

- (a) 1-True, 2-True
- (b) 1-False, 2-True
- (c) 1-False, 2-False
- (d) 1-True, 2-False

Division B: Descriptive Questions**Financial Analysis & Planning – Ratio Analysis**

4. Jamunapati Limited has furnished the following ratios and information relating to the year ended 31st March, 2024:

Sales	₹ 70,00,000
Return on net worth	25%
Rate of income tax	30%
Share capital to reserves	7:3
Current ratio	2
Net profit to sales	7%
Inventory turnover	10
Cost of goods sold	₹ 24,00,000
Interest on 15% debentures	₹ 1,05,000
Receivables	₹ 3,00,000
Payables	₹ 3,00,000

You are required to:

- (a) CALCULATE the operating expenses for the year ended 31st March, 2024.
- (b) PREPARE a Balance Sheet as on 31st March, 2024 in the following format:

Balance Sheet as on 31st March, 2024

Liabilities	₹	Assets	₹
Share Capital		Fixed Assets	
Reserve and Surplus		Current Assets	
15% Debentures		Stock	
Payables		Receivables	
		Cash	

Financing Decision - Cost of Capital

5. Lavanya Limited wishes to raise additional finance of ₹ 20 lakhs for meeting its investment plans. It has ₹ 4,20,000 in the form of retained earnings available for investment purposes. Further details are as following:

(1)	Debt / Equity mix	3:7
(2)	Cost of debt:	
	Upto ₹ 3,60,000	8% (before tax)
	Beyond ₹ 3,60,000	12% (before tax)
(3)	Earnings per share	₹ 5
(4)	Dividend pay out	40% of earnings
(5)	Retained Earnings	60%
(6)	Rate of Return on Retained Earnings	10%
(7)	Current market price per share	₹ 53
(8)	Tax rate	30%

You are required to:

- (a) DETERMINE the pattern for raising the additional finance.

- (b) DETERMINE the post-tax average cost of additional debt.
- (c) DETERMINE the cost of retained earnings and cost of equity.
- (d) COMPUTE the overall weighted average after tax cost of additional finance.

Financing Decision – Capital Structure

6. ABC Ltd. is planning to raise ₹50,00,000 for a major expansion project. The firm is evaluating three financing options:

- (i) Equity Financing Only

Issuing new shares at ₹10 each (Issue price: ₹10, but flotation cost per share: ₹0.50).

Existing equity shares: 10,00,000.

Market price per share: ₹20.

- (ii) Debt Financing Only

Borrow ₹50,00,000 at 12% interest.

Flotation cost on debt: 2% of the face value.

The lender imposes a debt covenant limiting the interest coverage ratio (EBIT/Interest) to a minimum of 2.5.

- (iii) Mix of Equity and Debt Financing

Raise ₹25,00,000 through equity (floatation cost: ₹0.50/share at ₹ 10 issue price).

Raise ₹25,00,000 through debt at 12% interest (floatation cost: 2%).

Additional Information

- (i) Project EBIT: ₹15,00,000 annually.
- (ii) Corporate tax rate: 30%.
- (iii) Existing shares: 10,00,000.
- (iv) Risk-free rate: 6%, Market return: 14%, Equity beta: 1.2.

From the above information:

1. CALCULATE the net proceeds from each financing method (after floatation costs) and determine the number of new shares issued in Option (i) and Option (iii).
2. For debt options, CHECK if the interest coverage ratio complies with the covenant (minimum 2.5).
3. COMPUTE EPS under each option.
4. COMPUTE the WACC under each option, considering the impact of floatation costs on capital raised.

ADVISE which financing option is best from both an EPS and WACC perspective.

Financing Decision – Leverages

7. X Limited and Y Limited are two mid-sized companies operating in the same competitive industry. Both companies have recently undergone a financial performance review to assess their operational efficiency, cost structure, and overall financial risk. You, as a financial analyst, have been provided with selective financial indicators and are required to draw insights and comparisons based on leverage analysis and income statement reconstruction.

The management of X Limited has disclosed that the company is currently operating with a Margin of Safety (M/S) ratio of 0.1667. In contrast, Y Limited has a Margin of Safety that is twice as high as that of X Limited.

Both companies maintain a Financial Leverage of 3. Their variable cost ratios are 60% for X Limited and 50% for Y Limited.

In terms of financing costs, X Limited incurs an annual interest expense of ₹30,000. Y Limited, however, incurs an interest cost that is 300% higher than X Limited. Both companies are subject to a corporate tax rate of 30%, which affects their net profitability after interest and taxes.

You are required to PREPARE Income statement for both the companies and IDENTIFY the company which is better placed with reasons based on leverages.

Dividend Decision

8. In the month of April of the current Financial Year, shares of PQR Ltd. were sold for ₹ 1,570 per share. A long-term earnings growth rate of 8% is anticipated. PQR Ltd. paid dividend of ₹ 25 per share.
- (i) CALCULATE rate of return an investor can expect to earn assuming that dividends are expected to grow along with earnings at 8% per year in perpetuity.
 - (ii) It is expected that PQR Ltd. will earn about 10% on retained earnings and shall retain 60% of earnings. In this case, STATE whether, there would be any change in growth rate and cost of Equity?

Management of Working Capital

9. A firm has a total sale of ₹ 200 lakhs of which 80% is on credit. It is offering credit terms of 2/40, net 120. Of the total, 50% of customers avail of discount and the balance pay in 120 days. Past experience indicates that bad debt losses are around 1.5% of credit sales. The firm spends about ₹ 2,40,000 per annum to administer its credit sales. These are avoidable as a factor is prepared to buy the firm's receivables. He will charge 2% commission. He will pay advance against receivables to the firm at an interest rate of 18% after withholding 10% as reserve.
- (i) DETERMINE the effective cost of factoring? Consider year as 360 days.
 - (ii) If bank finance for working capital is available at 12% interest, ADVISE, should the firm avail of factoring service

Miscellaneous

10. (a) Contemplate the list of features given below and IDENTIFY each one of them with the most relevant sources of funds:
- (i) It is the most expensive source of funds.
 - (ii) It entails a high degree of risk since they have to be repaid as per the terms of agreement.

- (iii) It supports businesses in their routine activities.
 - (iv) Business enterprise has options to raise capital from International markets also.
 - (v) This source of finance sometimes is the last option for startups which doesn't qualify for bank funding
- (b) Trade credit and bank overdraft are two commonly used short-term financing sources but each has distinct features. On the light of the statement **SHOW** the difference between trade credit and bank overdraft.
- (c) ABC Ltd. is a manufacturing company experiencing rapid sales growth. To meet the increased demand, the company has started maintaining higher inventory levels and offering more generous credit terms to customers. However, its cash reserves are depleting, and it is facing difficulties in paying suppliers on time. As a financial analyst, apply your understanding of the scope of working capital management to **ANALYZE** the trade-offs the company is making between different components of working capital (inventory, receivables, advances, payables, and cash).